

CURRENT AFFAIRS



NEWS ANALYSIS 13th WEEK 2016



UPSC

28th Mar to 3rd April

GNXX CANA X13A EN16

**INDIA - IRAN -
SAUDI ARABIA**

THIS WEEK ... WE DELIBERATE ON THE ISSUE

**CAN INDIA MAINTAIN DELICATE
BALANCE WITH IRAN AND
SAUDI ARABIA?**



Caspian Sea

Mediterranean Sea

IRAN

Persian Gulf

Gulf of Oman

SAUDI ARABIA

Red Sea

Gulf of Aden

Arabian Sea



SAUDI ARABIA



LEARNING SPACE

...Transforming Human Lives



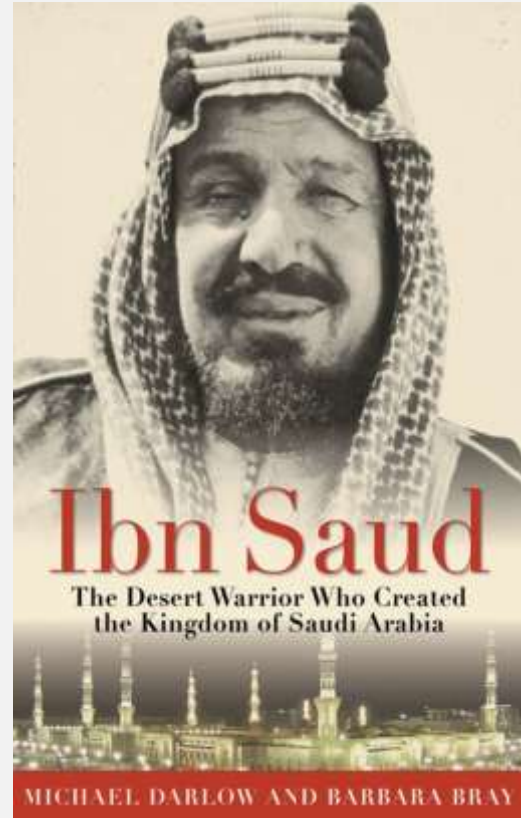
- Officially “Kingdom of Saudi Arabia”
- Arab State in West Asia
- 2nd Largest proven oil reserves in the world
- Occupies major portion of Arabian Peninsula
- Got coastline across both the Red Sea and the Persian Gulf
- Population ... Around 3 crore (approx.)
- Capital ... Riyadh
- Currency ... Saudi Riyal

- Kingdom of Saudi Arabia was founded in 1932 by Ibn Saud
- Islamic absolute monarchy
- It promotes conservative Wahhabism
- Predominantly Sunni Islam
- Leads 6 Nation GCC countries
- Founder of 39 Nation block of Islamic Military Alliance to Fight Terrorism (IMAFT)
- Global leader for “Sunni Muslim” sect



IBN SAUD

Founder of Saudi Arabia





COMMON NAME	OFFICIAL NAME
BAHRAIN	Kingdom of Bahrain
KUWAIT	State of Kuwait
OMAN	Sultanate of Oman
QATAR	State of Qatar
SAUDI ARABIA	Kingdom of Saudi Arabia
UNITED ARAB EMIRATES	State of the United Arab Emirates



IRAN

- Officially “Islamic Republic of Iran” also known as Persia
- Extends from Caspian Sea to Persian Gulf and Gulf of Oman
- One of the world’s largest proven oil reserves and natural gas reserves
- Islamic Republic, with the concept of “Supreme Leader”
- Population ... 8 crores (approx.)
- Capital .. Tehran
- Currency ... Rial

- Known for “Islamic Revolution” of 1979
- Global leader for “Shia Muslim Sect”
- Antagonized USA & West for the past “35 years”
- Sanctions were lifted recently after the “historic nuclear deal” with world powers (P5+1)
- Official language ... Persian
- It supports Shia Militias in several countries





SAUDI ARABIA - IRAN



SAUDI ARABIA

- 1 It is the global leader for Sunni sect of Muslims
- 2 It leads the group of Sunni dominated GCC countries
- 3 Close relations with USA and West for the past several decades
- 4 It is supporting Govt. forces in Yemen civil war
- 5 It is supporting opposition forces in Syria civil war

IRAN

- 1 It is the global leader for Shia sect of Muslims
- 2 It backs Shia Militias to fight on behalf of the Shia Muslim countries
- 3 It antagonised USA and West after 1979 revolution and it used to call America "the biggest enemy"
- 4 It is allegedly supporting Houthi rebels in Yemen
- 5 It is supporting Govt. forces in Syria civil war



SAUDI ARABIA & THE WORLD



... A PERSPECTIVE IN RECENT TIMES

- 1 Its clout with USA is reducing in recent times. As the USA's oil production almost doubled in 5 years, its dependence on Saudi Arabia for oil reduced. Hence, 80 years of closely knit relations are under strain.
- 2 Saudi Arabia is not happy with the western countries, when they formulated "historic nuclear deal" with Iran and subsequent lifting of sanctions on Iran.
- 3 Saudi Arabia is also facing allegations of funding IS fighters, though it denies these allegations
- 4 The relations with Pakistan also strained, when it refused to send troops to fight Saudi led forces in Yemen. Pakistan also reluctantly joined in IMAFT.
- 5 As the "fossil fuel" is under scanner due to global warming, it is trying to diversify the economy with services and technology at the forefront.



IRAN & THE WORLD



... A PERSPECTIVE IN RECENT TIMES

- 1 It is brimming with confidence after the “historic nuclear deal” with P5+1 and subsequent lifting of sanctions by the western countries.
- 2 Several European countries are queuing up to seal business deals with Iran after the lifting of sanctions. It became a necessity for European countries as several countries are under recession / suffering from low growth rates.
- 3 Visit of President of Iran to Pakistan after a gap of 14 years, assumed significance as Pakistan is one of the closest allies of Saudi Arabia, till recent times.
- 4 First train with Chinese goods arrived Tehran recently after travelling around 9,500 kms through Kazakhstan and Turkmenistan. It signals the revival of Silk Route in modern times
- 5 Iran is in strategic location to connect Central Asia and West Asia and will be the key player for OBOR initiative of China.





INDIA - SAUDI ARABIA



- 1 Out of 7 million Indians staying in West Asia region, Saudi Arabia accounts for around 3 million and hence several families in India are dependent on remittances
- 2 Bilateral trade is around \$ 40 bn and is one of the key countries for India's energy security
- 3 The country has got one of the largest SWFs and India can leverage these funds for infrastructure development in India
- 4 In recent times, both the countries stepped up cooperation in counter terrorism and intelligence sharing
- 5 Alleged exploitation of the Indian labourers is the point of concern for India. Not only that, India is also worried about the alleged funding of Wahhabi groups



INDIA - IRAN



1

Even during the times of economic sanctions by the West, India maintained reasonably good relations with Iran. Iran is one of the largest importers of Basmati rice from India for the past few years

3

India also wants Indian firms to develop Farzad-B gas fields in Iran

5

Iran has got second highest natural gas reserves in the world and it will add to India's energy security. Discussions are also going on for Iran-Pakistan-India gas pipeline

2

India plans to develop Chabahar port, which will be gateway to Central Asia as well as Afghanistan. This assumed significance in view of the development of Gwadar port by China in Pakistan

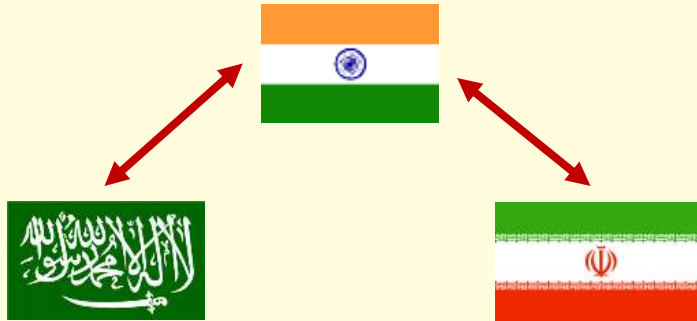
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Indian Petroleum Minister Dharmendra Pradhan visited Iran recently and expressed intention to invest \$ 20 bn in Iran, which include setting up of an SEZ





FOR INDIA WHAT NEXT?



1

Multi-directional West Asia Policy

2

Maintain equilibrium with caution

3

Do not take sides in the murky geopolitics of West Asia

4

Concentrate on economic & trade relations

5

Delink terror from religion